

SECTION B

(50 MARKS)

QUESTION 1

(25 MARKS)

1.1 Market research is used to gain relevant information about the market, competitors and other environmental changes. Marketing management receives feedback on the market and the environment by conducting market research.

Discuss the steps to follow when conducting a survey/research. (15)

1.2 Inventory should be managed and controlled so that optimal inventory levels can be maintained. This means that inventory should be kept at such a level that the best service can be rendered to the user or customer at the lowest possible cost.

Discuss five inventory control systems available for businesses. (10)

QUESTION 2

(25 MARKS)

2. Study the statement of financial Results (Income statement) and the statement of financial Position (Balance sheet) of African Fried Chicken Ltd below and calculate the following financial ratios:-

STATEMENT OF FINANCIAL PERFORMANCE OF TURFLOOP ENTERPRISES LTD FOR THE YEAR ENDING 30 SEPTEMBER 2023

		R
Net sales		400 000
<u>Less: Cost of sales</u>		<u>300 000</u>
Opening Inventories	80 000	
Purchases	<u>320 000</u>	
	400 000	
<u>Less: Closing Inventories:</u>	<u>100 000</u>	
Gross profit		100 000
<u>Less: Operating expenses</u>		<u>25 000</u>
Wages and Salaries	15 000	
Stationery	3 000	
Depreciation	4 000	
Water and Electricity	1 000	
Telephone and fax	<u>2 000</u>	
Operating profit		<u>75 000</u>
<u>Less: Interest paid</u>		<u>5 000</u>

Profit before tax	70 000
<u>Less: Income tax</u>	<u>25 000</u>
Net profit after tax	45 000
<u>Less: Preference dividends</u>	<u>5 000</u>
Profit accruing to ordinary shareholders	40 000
<u>Less: Ordinary dividends</u>	<u>10 000</u>
Retained earnings	30 000

STATEMENT OF FINANCIAL POSITION OF TURFLOOP ENTERPRISES LTD AS AT 30 SEPTEMBER 2023

		<u>R</u>			<u>R</u>
<u>Fixed assets</u>		900 000	<u>Capital Employed</u>		500 000
Land and buildings	500 000		Ordinary issued shares		200 000
Plant and equipment	240 000		General Reserves		<u>300 000</u>
furniture	60 000		Retained earnings		1 000 000
Vehicles	<u>100 000</u>		Owners' equity		<u>200 000</u>
			Preference shares		1 200 000
<u>Current assets</u>		600 000	Shareholders' interest		
Cash	300 000				100 000
Debtors	150 000		<u>Long-term liability</u>		
Inventory	<u>150 000</u>		Mortgage bond		
					200 000
			<u>Current liabilities</u>		
			Trade creditors	100 000	
			Tax payable	70 000	
			Expenses Payable	<u>30 000</u>	
					1 500 000
		1 500 000			

- 2.1 The Acid-test ratio. Explain/interpret your answer. *Current Assets - Interest* *current liabilities* (6)
- 2.2 The gearing ratio. Explain/interpret your answer. *Debt* *Owner's* (5)
- 2.3 The debt ratio. Explain/interpret your answer. *Debt* *Assets* (6)
- 2.4 The Gross Profit Margin. Explain/interpret your answer. (5)
- 2.5 Return on Owners' Equity ratio (ROE) (3)

Purchasing Process

1. Development and discription of the need

The specification describes the material and the required quality of that materials.

2. Choice of Supplies

Determining the future availability of materials or services is no easy task

3. Research on Price and availability

This is actually part of the previous step.

4. Issuing the order and concluding a contract

They also constitute a legally valid contract to which both parties are bound by law.

5. follow-up and expediting

This can also have serious implications for supplier relations and the continued use of a specific supplier

6. Receipts, inspection and discription

7. Handling errors and discrepancies

8. Paying for the order

It then authorises the finance function to pay the supplier

9. Closing the order

It also constitutes an assessment of the purchasing and supply function's performance.